

B5 Outline

we want to start by asking what happens when things change in the market, and that requires thinking about changes in the supply and demand curve. then we get into elasticity, when it's not the curve itself changing but the price, then we bring it all together with comparative statics.

{++Sep 27 | Proposed, the steps in B5_Notes.typ++}

1. {++What markets are doing. Recap of equilibrium and total surplus.++}
2. {++Sometimes things change. The spinach study.++}
3. {++Demand shifters.++}
4. {++Supply shifters.++}
5. {++Elasticity. The curve holds and the price moves.++}
6. {++Comparative statics. One shift, then the math.++}
7. {++Both curves shift. Price is indeterminate.++}
8. {++How much price, how much quantity. The same shift against elastic and inelastic supply.++}

Part B Outline | Episode B5

Comparative statics analyzes how equilibrium changes when supply or demand conditions shift. Elasticity measures how responsive quantity is to changes in price, income, or other factors.

Tutorial 2.4 | Comparative Statics

- Supply curve shifters
- Demand curve shifters
- Changes to price and quantity
- Both supply and demand shifting

Tutorial 2.5 | Elasticity

- Intuition with rubber bands
- Elasticity equation
- Complements/Substitutes
- Inferior/Normal/Lux
- Applied to supply
- Applied to demand
- Cross price
- Income elasticity of demand, but we won't use it in this class